again the dispute is regarding the acceptance of John Ardagh-Johnson Line and the Macartney-MacDonald Line by one and rejection by the other. The former puts Aksai Chin within Indian territory and the latter puts it outside the Indian territory. Such divergent perspectives had been uncompromising and complicating relations. In 1963, against Indian objections, Pakistan handed over the Trans-Karakoram Tract to China as this area is claimed as a part of Jammu and Kashmir. There are also eight pockets of disputes between the two. In the Western sector—(1) Trig Heights and (2) Demchok; in the Middle sector—(3) Barahoti; in the Eastern Sector-(4) Namka Chu, (5) Sumdorong, (6) Chantze, (7) Asaphila, and (8) Lonju. Chinese incursions into the Western Sector (Ladakh), Middle (Uttarakhand and Himachal) and Eastern (Sikkim and Arunachal) have also disturbed the relations. China also has made a claim over the Finger Area[§] in Sikkim.

Tibet has been a vexing issue since the Chinese started their mission to liberate Tibet in the late 1940s and completed its occupation by 1951. Dalai Lama following the uprising in Tibet in 1959 fled to India and established a government in exile in India in *Dharamshala*. From then onwards, the issue of Dalai Lama has been a vexing topic in Sino-India relation. China alleges the hands of Dalai Lama for formenting troubles in Tibet. China uses all means to integrate Tibet into mainland China. It has built roads and rail links like the Beijing-Lhasa road, and had plans for constructing a road up to Mount Everest. With the Chinese occupation of Tibet India lost a buffer state between China and herself, and now every single Chinese defence designs involving Tibet gives her a nerve shock, because these connectivity between Tibet and China can well be mobilized to move troops upto Indian border.

The widening trade gap is a matter of worry for India. In 2006, the Joint Economic Group (JEG) which met in New Delhi made commitments to diversify India's exports and improve market access for Indian companies to China. However, the trade deficit has grown from US $4 billion to US $14 billion in 2009.

Bilateral trade fell by 20% in 2009 due to global meltdown and hit Indian exports. However, one big allegation against China is